

Foundation for Organizational Behavior

CHAPTER - I

One third of your life is spent at work

The average person will spend 90,000 hours at work





We spend most of our lives working.
So why do so few people have a
good time doing it?

— *Richard Branson* —

AZ QUOTES

In an interview with CNBC Nooyi explained when she first **became CEO** she visited India to see her mother.

"When I got home a stream of visitors and random people started to show up. They'd go to my mom and say, 'You did such a good job with your daughter. Compliments to you. She's CEO.' It occurred to me that I had never thanked the parents of my executives for the gift of their child to PepsiCo."

Every year since her appointment in 2006 Nooyi writes more than 400 letters to the parents of employees, expressing her gratitude; opening floodgates of emotion from parents and employees alike. The second largest food and beverage company in the world in net revenue, with 264,000 people globally, Pepsico is often studied for its recognition programs and advances in employee engagement.

Nooyi's letter writing campaign is a boon to the multi-national's efforts. It also undoubtedly contributes to her strong leadership approval rating.

[The Power of Appreciation and Recognition Programs – TalentMap](#)

[Anna Sebastian's Father Says No Father Should Lose Child To
Toxicity, Forced To Work On Offs](#)

Objectives

1. Define organizational behavior (OB).
2. Identify the contributions made to OB by major behavioral science disciplines.
3. Describe how OB concepts can help make organizations more productive.
4. List the major challenges and opportunities for managers to use OB concepts.

Definition

Organizational behavior (OB)

Organizational Behavior studies the influence that individuals, groups and structure have on behavior within organizations.

A field of study that investigates the impact that individuals, groups, and structure have on behavior within organizations, for the purpose of applying such knowledge toward improving an organization's effectiveness.

Its chief goal is to apply that knowledge toward improving an organization's effectiveness.

Complementing Intuition with Systematic Study

Intuition: the “gut feeling” explanation of behavior.

Systematic study improves ability to accurately predict behavior.

- Assumes behavior is not random.
- Fundamental consistencies underlie behavior.
- These can be identified and modified to reflect individual differences.

Systematic Study

Examines relationships.

Attempts to attribute causes and effects.

Bases conclusions on scientific evidence:

- On data gathered under controlled conditions.
- Data is measured and interpreted in a reasonably rigorous manner.



Evidence-Based Management



Complements systematic study.

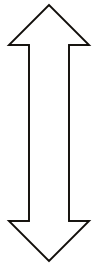
Bases decisions on the best available scientific evidence.

Forces managers to become more scientific in their thinking.

Contributing Disciplines to the OB Field

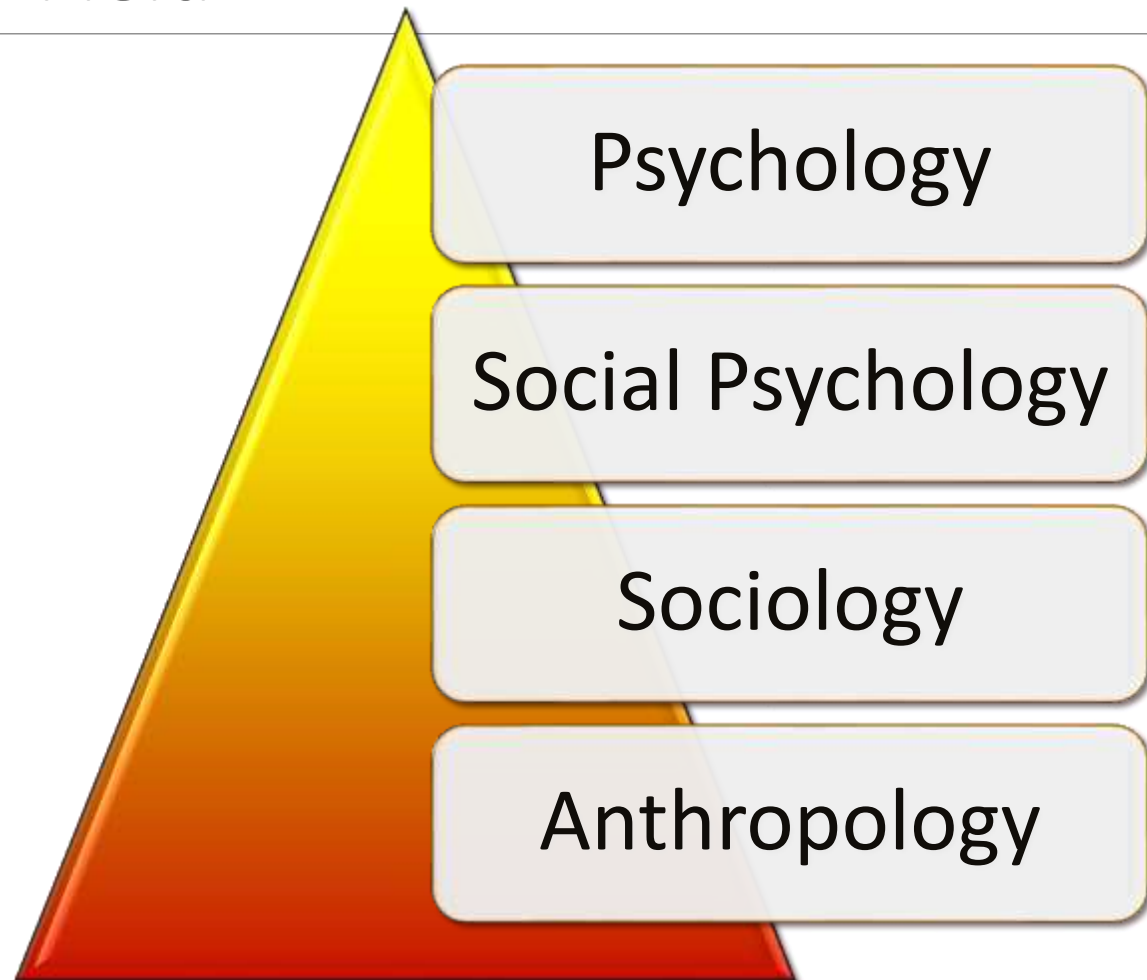
Micro:

The Individual



Macro:

Groups &
Organizations



Contributing Disciplines to the OB Field

Psychology

The science that seeks to measure, explain, and sometimes change the behavior of humans and other animals.

Sociology

The study of people in relation to their fellow human beings.

Social Psychology

An area within psychology that blends concepts from psychology and sociology and that focuses on the influence of people on one another.

Anthropology

The study of societies and cultures to learn about human beings and their activities.

Political Science

The study of the behavior of individuals and groups within a political environment.

Disciplines Contributing to *Organizational Behaviour*

Discipline	Level	Key Phenomena
 Psychology	Individual	• Motivation • Personality • Perception • Emotions
 Social Psychology	Group	• Group Dynamics • Leadership • Power & Conflict
 Sociology	Organizational	• Culture • Organizational Structure • Inequality & Institutions
 Anthropology	Organizational	• Values & Beliefs • Rituals & Symbols • Cross-Cultural Behaviour
 Political Science	Organizational	• Power & Politics • Authority • Decision-Making

Challenges and Opportunities FOR OB

1. Responding to Economic Pressures e.g Layoffs

Stress, Coping , Career Support

As HR Manager how do you plan and execute it effectively

E.g Byju's

"I don't know what my fault was," Singh wrote on LinkedIn. "I worked very hard throughout my time in Byju's and I never followed the 10-8 work culture. I was always available 24x7 for my company but they (the HR) came and told me to resign immediately."

"I lost everything. I can't dare tell my family that I lost my job about a month ago because they are not in good condition. I am the only one taking care of them," Singh said, adding that he has applied to several companies but was not selected by any.

Challenges and Opportunities FOR OB

2. Responding to Globalization

How to develop cross cultural competence

Managing people and company's interest

In the global economy, jobs tend to shift from developed nations to countries where lower labor costs give firms a comparative advantage. In this photo, an employee wearing a sign on his head reading "Capital Interests" joins co-workers at a Nokia factory in Germany to protest the company's decision of terminating mobile phone production at the plant, resulting in the loss of 2,300 jobs. Nokia announced plans to shift production from Germany to Romania, where labor costs are lower.



Challenges and Opportunities FOR OB

3. Managing Workforce Diversity

Workforce diversity acknowledges a workforce of women and men; many racial and ethnic groups; individuals with a variety of physical or psychological abilities; and people who differ in age and sexual orientation, nationality etc.



Challenges and Opportunities FOR OB

4. Helping Employees Balance Work–Life Conflicts

- Policies, Practices, and support eco-system – Salesforce, Hyderabad
- Free food
- In-house day care for kids



Challenges and Opportunities FOR OB

5. Improving Ethical Behaviour

They're writing and distributing codes of ethics to guide employees through ethical dilemmas.

They're offering seminars, workshops, and other training programs to try to improve ethical behaviors

E.g Passenger dragged off overbooked United Airlin

Source - [United Passenger Dragged Off Flight by Police | Men's Health \(menshealth.com\)](https://www.menshealth.com/entertainment/a31234567/united-passenger-dragged-off-flight-by-police/)

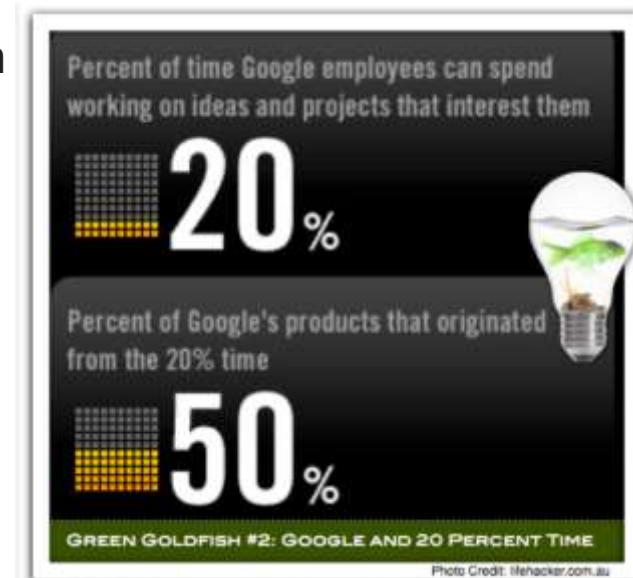


Challenges and Opportunities FOR OB

6. Stimulating Innovation and Change

Today's successful organizations must foster innovation and master the art of change, or they'll become candidates for extinction - Kodak, Nokia

Building a culture that supports creativity



Significance of OB

OB helps with:

- Insights to improve people skills
- Valuing of workforce diversity
- Empowering people and creating a positive work environment
- Dealing with labor shortages
- Coping in a world of temporariness
- Creating an ethically healthy work environm

